

Micron Technology, Inc.

MU NASDAQ

Hold	\$1039.15 ▼ 4.49%	12M Price Target \$1150.00	52-Week Range \$179.61 – \$1255.00	Market Cap \$1.17T
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MU: Memory Boom Priced In, Options Flashing Caution

WHAT HAPPENED

- MU dropped 4.5% today to \$1,039 after yesterday's rip to \$1,088 — classic "cool off" after a hot run. No company news, no filings. The move is almost entirely about positioning: the stock is at 80% of its 52-week range and up roughly 5x from the lows, so profit-taking is natural here.
- The options tape is the real story — massive put buying at the \$1,050, \$1,065, and \$1,070 strikes expiring this month, 5-10x normal open interest. Someone with real money is paying up to hedge or bet on more downside in the next 2 weeks.

WHY IT MATTERS

Here's the inference: when a stock has 5x'd and institutions suddenly load up on near-dated puts worth ~\$100M in notional, that's not retail panic — that's smart money protecting gains ahead of a known event. Micron reports earnings in the next few weeks, and the whisper number on HBM (high-bandwidth memory, the chips that go into Nvidia's AI GPUs) pricing has been sky-high. If MU merely meets expectations instead of blowing them out, this stock gets re-rated lower fast. The bigger picture: MU is now a \$1.17 trillion company — larger than Berkshire — purely on the AI memory thesis. That's a lot of good news baked in, and the risk/reward has shifted from "chase it" to "respect it."

POLICY & POLITICAL WATCH

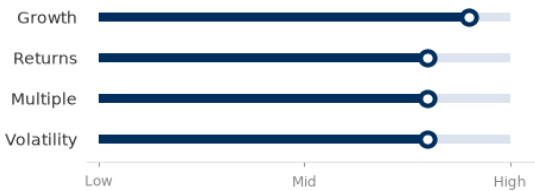
MU is a huge beneficiary of the CHIPS Act — they've been awarded roughly \$6.1B in grants to build fabs in Idaho and New York, and the Trump administration has signaled continued support for domestic semi manufacturing even while renegotiating other Biden-era subsidies. The watch item: China export controls. The administration is reportedly considering tighter restrictions on advanced memory exports to China, and Beijing has historically retaliated against Micron specifically (remember the 2023 CAC ban on MU chips in critical infrastructure). If trade talks sour this fall, MU is the most exposed US memory name. On the tailwind side, any expansion of AI infrastructure tax credits in the year-end budget package is a direct positive.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$1039.15
12M Price Target	\$1150.00
Upside / (Downside)	+10.7%
Market Cap	\$1.17T
FY2026E Revenue	\$48,500M
FY2027E Revenue	\$62,000M
FY2026E EPS	\$14.50
FY2027E EPS	\$22.00
Fwd P/E	71.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1150.00	\$1050.00	\$950.00
6 Months	\$1350.00	\$1150.00	\$850.00
1 Year	\$1500.00	\$1200.00	\$750.00
2 Years	\$1800.00	\$1300.00	\$650.00
5 Years	\$2400.00	\$1600.00	\$500.00
10 Years	\$3500.00	\$2200.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.97%) and Staples (+2.12%) — this is defensive rotation. When energy and staples lead on the same day tech sells off, the market is getting cautious. Energy also benefits from Middle East tension premiums and continued permitting reform under the current admin.

COOLING OFF: Tech and semis aren't in the top movers today, which tells you money is leaving crowded AI trades. The semi group has had an epic run and is due for a breather.

ROTATION WATCH: Classic late-cycle rotation — money moving from high-multiple growth into cash-flow defensives. If this persists more than a week, high-beta names like MU underperform.

RELATED PLAY: If you still want AI exposure but want to de-risk from memory cyclicity, look at the picks-and-shovels — ASML (lithography), AMAT (deposition equipment), or data center power plays like VST and CEG.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon): Energy leading on supply tightness and policy tailwinds from drilling-friendly admin.
- XLP names (Staples): Defensive bid as traders de-risk from momentum names like MU.

MU CONTEXT: MU is lagging today while the broad market is up — that's a tell. When a leader stops leading on a green day, it often signals the first stage of a correction. Not a sell signal yet, but the "easy money" phase of this trade is over.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — the business is firing on all cylinders, but the stock has already paid you for 2 years of good news. I'm cautiously constructive, not pounding the table.

POSITION SIZE: Keep it to 2-4%. If you're already up big, trim to the position size that lets you sleep — a 20% drawdown from here is a very real possibility.

ENTRY POINTS: I'd wait for a pullback to \$900-950, which would be a healthy 10-15% retracement into prior support. Don't chase at \$1,040 with put flow screaming caution.

TIME HORIZON: 12-24 months — the HBM cycle has legs through at least 2027, but you need to be ready to hold through 20%+ drawdowns.

WHEN TO BAIL: China bans MU chips again, HBM ASPs (average selling prices) start declining quarter-over-quarter, or the company issues equity to fund fabs. Any one of those breaks the story.

HEDGING: Simplest hedge — buy puts 10% below the current price expiring 3 months out. Costs you a few percent but caps the pain if earnings disappoint. Or pair the long with a short on the SOXX semi ETF to isolate MU-specific upside.